Calm Before the Storm

CPI in line at 2.4% — but pre-war data. Market fades as traders price the oil shock ahead. VLO +5.7%. SYK −3.0%.

THE SESSION

February CPI landed right on expectations — and the market shrugged. Headline inflation came in at +0.3% MoM and 2.4% YoY, matching consensus. Core CPI rose 0.2% MoM and 2.5% YoY. Rent posted its smallest monthly increase (+0.1%) since January 2021. On its face, this was a constructive print — steady disinflation before the war disrupted everything. But the market faded after the open, with the S&P 500 slipping 0.10% to 6,774.76 and the Dow falling 0.61%.

Traders looked through February's data and focused on what's coming. This CPI predates the Iran oil shock — gasoline prices are already up 19% since Feb. 23. Analysts at Carson Group noted that March CPI will tell the real story. Several economists projected headline inflation could reach 3.5% by year-end if oil stays elevated. The Fed meets March 18 and is almost certain to hold. Rate-cut expectations have been pushed to September at the earliest.

The energy trade reasserted itself. Oil ticked higher intraday despite the broader retreat from $119 — Brent near $88. VLO surged 5.73% as refining margins widened further. Gold pulled back 1.05% to $5,187 after yesterday's record, while Bitcoin edged up 0.72%. The VIX dipped 2.45% to 24.32 — the lowest since March 3.

IOWN Tactical: S&P at ~6,775. Still well above our –20% buy trigger (~5,800 from ATH). The February CPI confirms inflation was on track before the war. The question now is how persistent the energy shock will be. PPI tomorrow, FOMC next Wednesday.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

VLO +5.73% DIVIDEND STRATEGY

The session's clear leader. Refining margins continue to widen as oil holds above $85. Valero hit $229.46 intraday, its highest level in weeks.

HUT +3.56% GROWTH PORTFOLIO

Hut 8 extended its rebound for a third session. Bitcoin's stability near $70K is supporting the miners.

CNX +2.55% GROWTH PORTFOLIO

CNX Resources rallied as natural gas held firm. The energy complex remains well bid despite oil's retreat from peak levels.

SUPV +2.43% GROWTH PORTFOLIO

Grupo Supervielle continued its multi-day climb. Argentine financials are benefiting from EM risk-on positioning.

CVX +2.41% GROWTH PORTFOLIO

Chevron gained as oil ticked higher intraday. Energy remains the best-performing sector through the conflict.

TSM +1.90% GROWTH PORTFOLIO

TSMC rose nearly 2% as semiconductor demand held steady. AI infrastructure spending remains the structural tailwind.

ETHA +1.82% DIGITAL ASSET ETF

Ethereum ETF gained as the broader crypto complex continued its modest recovery from last week's lows.

LRCX +1.67% DIVIDEND STRATEGY

Lam Research extended its recovery for a third straight session. Semi equipment demand outlook improving.

DECLINERS

GFI –3.41% GROWTH PORTFOLIO

Gold Fields fell as gold retreated 1.05% from yesterday's record. Miners amplified the move lower.

CL –3.01% DIVIDEND STRATEGY

Colgate-Palmolive dropped on input cost concerns. Rising oil and commodity prices pressure consumer staples margins.

SYK –2.95% DIVIDEND STRATEGY

Stryker fell nearly 3% in its second straight session of weakness. Medical devices softened on healthcare sector rotation.

MATX –2.42% DIVIDEND STRATEGY

Matson pulled back after yesterday's +2.18% gain. Shipping rates remain volatile around the Hormuz situation.

AEM –2.19% GROWTH PORTFOLIO

Agnico Eagle tracked gold lower. The miner has been range-bound as spot gold consolidates near record levels.

ADP –2.05% DIVIDEND STRATEGY

ADP continued its multi-day pullback from last week's highs. Now down over $13 from Friday's $226.50 close.

NXPI –1.77% GROWTH PORTFOLIO

NXP Semiconductors fell despite the broader semi recovery. Auto chip demand concerns linger as consumer spending weakens.

HOLDINGS NEWS

February CPI: 2.4% YoY, 0.3% MoM. Core at 2.5% YoY, 0.2% MoM — all in line. Rent +0.1%, the lowest monthly reading since Jan 2021. This data predates the Iran oil shock. Analysts project March CPI will be materially higher as gasoline prices have surged 19% since Feb. 23. Fed holds March 18. Next cut now priced for September.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

–0.23%

vs. DVY –0.32% | IWS –0.17%

GROWTH PORTFOLIO ✓ BEAT

+0.20%

vs. IUSG +0.06%

YEAR-TO-DATE

Dividend +7.05% vs DVY +6.77% / IWS +4.20%
Growth +0.26% vs IUSG –3.00%